Lecture 8: Sensitivity Analysis

Week 8: Sensitivity Analysis

ISE 3200 - Linear Optimization

Shadow prices

- Dual value = change in z per unit of resource
- Valid only within the RHS range

Reduced costs

- How much c_j must improve before x_j enters
- Not the same as a shadow price

Ranging

- Objective coefficient ranges keep the basis optimal
- Compare objective slope with binding constraint slopes